

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2023-24

Paper No. BCH-214: Cost Accounting

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. In what essential respects is Cost Accounting different from financial accounting?
How does cost accounting help in controlling costs? [14]

OR

Explain why it is necessary to apply different methods of costing for different industries and state the several methods employed? [14]

Question 2. What is meant by overhead expense? Give various methods of allocating overheads and discuss any two of these in detail giving their merits and demerits. [14]

OR

What are the objects of Material Control? Describe briefly the various methods for pricing the issue of materials. [14]

Question 3. The following figures are available from the financial accounts for the year ended 31st March, 2022:

Particulars	Amount (Rs.)
Direct Materials	2,50,000
Direct Wages	1,00,000
Factory Overheads	3,80,000
Administration Overheads	2,50,000
Selling and Distribution Overheads	4,80,000
Bad Debts	20,000
Preliminary Expenses (written off)	7,000
Legal Charges	8,000
Dividends Received	40,000
Interest on Deposits Received	25,000
Sales (1,20,000 Units)	7,20,000
Closing Stock:	
– Finished Stock (40,000 units)	1,20,000
– Work in Progress	80,000

The cost accounts reveal:

- (i) Direct Material Consumption Rs. 2,80,000.
- (ii) Direct Wages Rs. 90,000.
- (iii) Factory Overheads recovered at 20% on the prime cost.
- (iv) Administration Overhead @ Rs. 3 per unit of production.

(v) Selling and Distribution Overhead @ Rs. 4 per unit sold.

Prepare:

- (i) Costing Profit and Loss Account.
- (ii) Financial Profit and Loss Account.
- (iii) Statement Reconciling the Profits and Losses.

[14]

OR

What is a Cost Sheet and why is it prepared? Prepare a cost sheet with imaginary figures.

[14]

Question 4. Write short notes on the following:

- (i) Normal and Abnormal Waste and Scrap.
- (ii) Joint Products and By-products.

[14]

OR

Explain the working of process costing and give the salient features of the system. For which kinds of business is process costing suitable?

[14]

Question 5. What is a Contract Account? How is it prepared? Give a specimen of such an account using imaginary figures.

[14]

OR

How will you value work in progress in the books of a contractor? How would this item appear in the Balance Sheet? Clearly explain through an example.

[14]